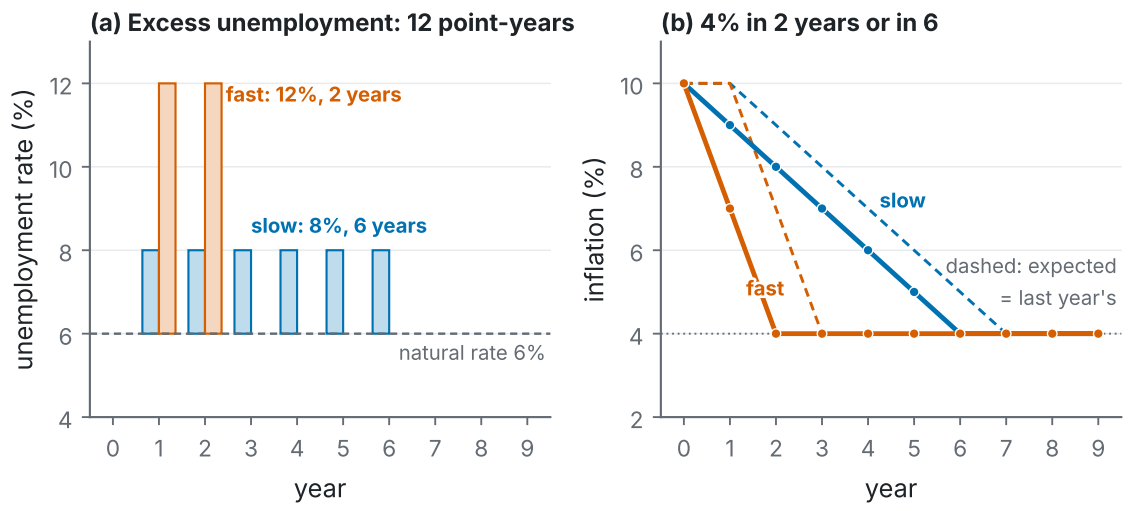
(a) Excess unemployment: 12 point-years
unemployment rate (%)
12
10
8
6
4
fast: 12%, 2 years
slow: 8%, 6 years
natural rate 6%
0 1 2 3 4 5 6 7 8 9
year
(b) 4% in 2 years or in 6
inflation (%)
10
8
6
4
2
slow
fast
dashed: expected
= last year's
0 1 2 3 4 5 6 7 8 9
year